

Equity Research Toolkit

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# SATS – Healthy body, healthy margins

Pareto Equity Research Competition 2026

Share price and estimates as of 06.10.26

# Case-team

CBS case team with a passion for equity research – presenting a model-driven investment case

|               |                                                                                                          |               |                                                                                                          |               |                                                                                                          |
|---------------|----------------------------------------------------------------------------------------------------------|---------------|----------------------------------------------------------------------------------------------------------|---------------|----------------------------------------------------------------------------------------------------------|
| <div>TM</div> | <div>University: [your university]<br/>Year of study: [year]<br/>Experience: [relevant experience]</div> | <div>TM</div> | <div>University: [your university]<br/>Year of study: [year]<br/>Experience: [relevant experience]</div> | <div>TM</div> | <div>University: [your university]<br/>Year of study: [year]<br/>Experience: [relevant experience]</div> |
| Team member 1 |                                                                                                          | Team member 2 |                                                                                                          | Team member 3 |                                                                                                          |

## Why we chose this company

- Clear equity story: **market leader** with pricing power and a scalable cost base
- A market that underestimates **margin expansion and cash generation**
- Valuation gap we can **quantify and stress-test** in scenarios

## How we worked

- Bottom-up model: **locations x volume x price** per segment, IFRS 16-consistent DCF
- Reverse DCF, **consensus gap**, peers, scenarios and 30 integrity checks
- Every number in this deck ties back to **one Excel model**

# Company overview

SATS ASA – the leading fitness club operator in the Nordics, with pricing power and operating leverage

SATS ASA is the **#1 fitness operator in the Nordics** with **755k members** in 273 clubs across Norway, Sweden, Finland and Denmark. **Membership subscriptions (83% of revenue)**, proven **pricing power** and a largely fixed club cost base lift the **EBIT adj. margin to ~14% by 2030E** – with **ROIC well above WACC**.

## Company snapshot

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|                         |                  |
|-------------------------|------------------|
| Sector                  | Fitness clubs    |
| Headquarters            | Oslo, Norway     |
| Listing                 | Oslo Børs (SATS) |
| Members (2025)          | 755k             |
| Locations (2025)        | 273              |
| Employees               | ~10,000          |
| Market cap (NOKm)       | 7,596            |
| Enterprise value (NOKm) | 8,673            |

## Scalable model with pricing power

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- **Recurring revenue:** 83% of sales are monthly memberships; personal training and retail the rest
- **Pricing power:** revenue per member up ~6% a year in 2024-25 and +6% currency adjusted in Q2 2026
- **Operating leverage:** EBITDA before IFRS 16 up from NOK 0.61bn (2023) to NOK 0.87bn (2025) and NOK 0.95bn LTM
- **Capital light:** capex 5.6% of sales and negative working capital

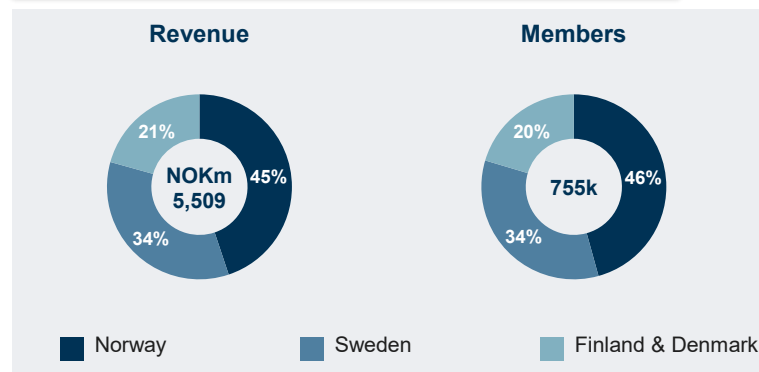
## Experienced management team

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|           |                                                                         |
|-----------|-------------------------------------------------------------------------|
| <b>SG</b> | <b>CEO – Sondre Gravir</b><br>Joined SATS in 2018                       |
| <b>CE</b> | <b>CFO – Cecilie Elde</b><br>Joined SATS in 2016                        |
| <b>GS</b> | <b>CDO – Gaute Sandal</b><br>Chief Digital Officer, joined SATS in 2017 |

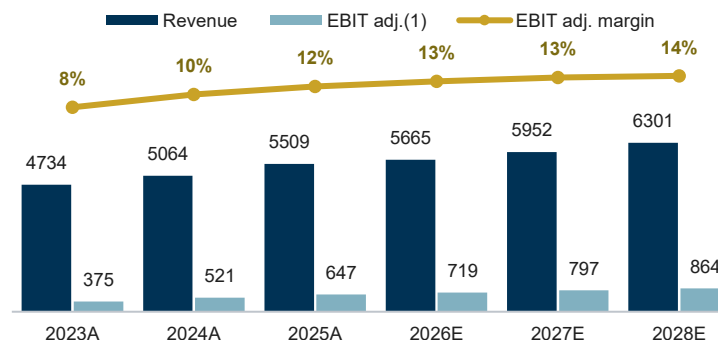
## Revenue and member mix (2025)

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## Consistent growth with margin expansion

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## ...and returns well above the cost of capital

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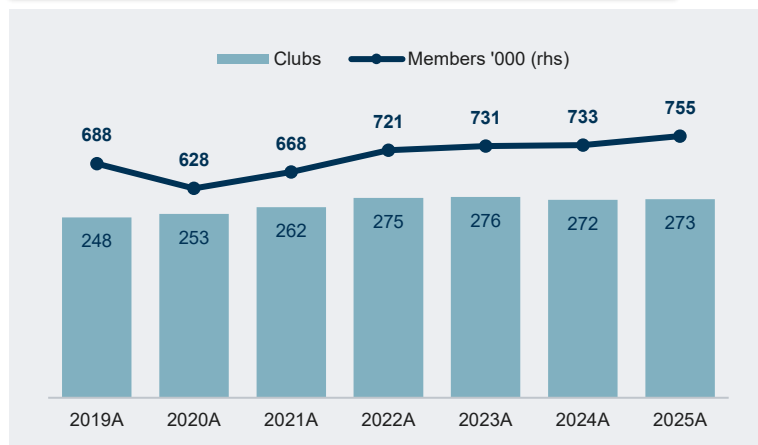
|                           | 2023A        | 2024A        | 2025A        | 2026E        | 2027E        | 2028E        |
|---------------------------|--------------|--------------|--------------|--------------|--------------|--------------|
| <b>Profitability</b>      |              |              |              |              |              |              |
| EBITDA margin             | 37.7%        | 38.3%        | 38.3%        | 38.9%        | 39.4%        | 39.7%        |
| EBIT adj. margin          | 7.9%         | 10.3%        | 11.7%        | 12.7%        | 13.4%        | 13.7%        |
| <b>Returns &amp; cash</b> |              |              |              |              |              |              |
| <b>ROIC</b>               | <b>11.1%</b> | <b>15.3%</b> | <b>18.9%</b> | <b>20.7%</b> | <b>22.4%</b> | <b>23.6%</b> |
| WACC                      | 9.1%         | 9.1%         | 9.1%         | 9.1%         | 9.1%         | 9.1%         |
| FCF yield                 | 4.0%         | 5.2%         | 6.6%         | 6.2%         | 6.6%         | 7.2%         |
| Dividend yield            | 0.0%         | 0.0%         | 3.3%         | 3.6%         | 4.2%         | 5.2%         |

# Market overview

SATS is #1 in Norway, Sweden and Finland and #2 in Denmark – price, utilisation and new clubs drive growth

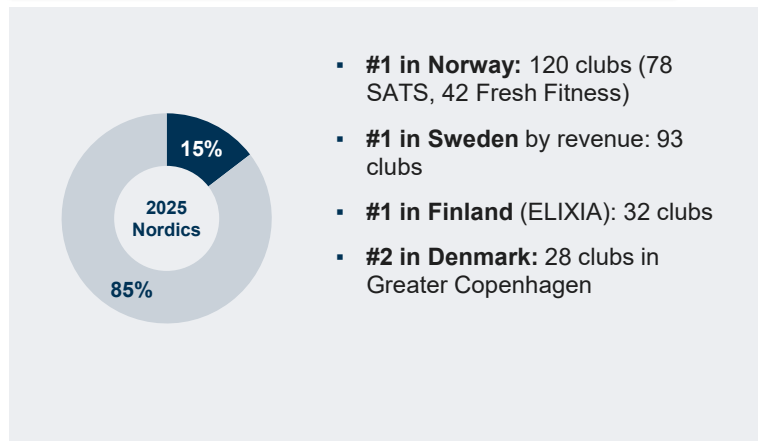
## More members per club

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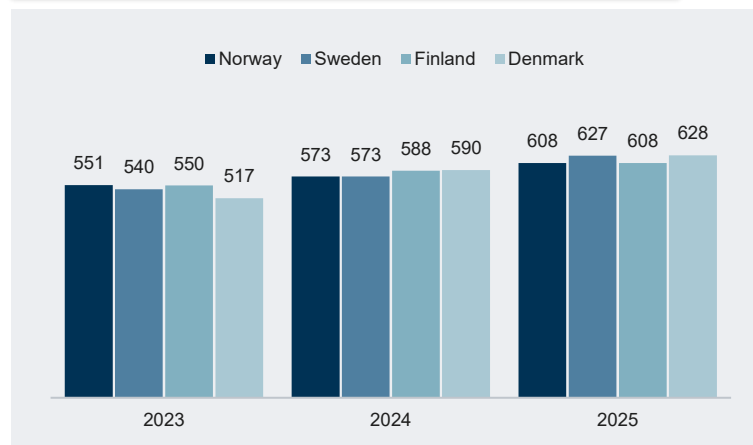
## ~15% of all Nordic fitness members

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## Revenue per member (NOK/month)

2



## Demand absorbs price increases

4



## Opportunities

- **Price increases above cost inflation** backed by product tiers and upgrades
- **Higher utilisation:** more members per club at near-zero marginal cost
- **Roll-out:** 8-12 new clubs a year at NOK 7-8m each with a ~3-year payback

## Disruption

- **Boutique studios and digital training** – met with premium concepts inside the clubs and the SATS app
- **Low-cost segment** – addressed with Fresh Fitness (42 clubs in Norway)
- **GLP-1 weight-loss drugs** – so far neutral to positive: users join to keep muscle mass

## Threats

- **Low-cost expansion** in the big cities could cap pricing power – Sweden is the contested market
- **Regulation:** Denmark's VAT on group training and PT (2026) cut the Danish member base by 4%

# Financials and estimates

New locations, like-for-like and price drive a 5.1% revenue CAGR 2025–30E, with EBIT margins expanding to 14%

## Financial summary (NOKm)

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|                               | Historical   |              |              | Forecast     |              |              |              |              |
|-------------------------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|--------------|
|                               | 2023A        | 2024A        | 2025A        | 2026E        | 2027E        | 2028E        | 2029E        | 2030E        |
| <b>Revenue</b>                | <b>4,734</b> | <b>5,064</b> | <b>5,509</b> | <b>5,665</b> | <b>5,952</b> | <b>6,301</b> | <b>6,683</b> | <b>7,075</b> |
| <i>Growth</i>                 | 16.0%        | 7.0%         | 8.8%         | 2.8%         | 5.1%         | 5.9%         | 6.1%         | 5.9%         |
| <b>EBITDA (reported)</b>      | <b>1,784</b> | <b>1,941</b> | <b>2,109</b> | <b>2,203</b> | <b>2,342</b> | <b>2,500</b> | <b>2,675</b> | <b>2,854</b> |
| <i>Margin</i>                 | 37.7%        | 38.3%        | 38.3%        | 38.9%        | 39.4%        | 39.7%        | 40.0%        | 40.3%        |
| <b>EBIT adj.</b>              | <b>375</b>   | <b>521</b>   | <b>647</b>   | <b>719</b>   | <b>797</b>   | <b>864</b>   | <b>942</b>   | <b>1,020</b> |
| <i>Margin</i>                 | 7.9%         | 10.3%        | 11.7%        | 12.7%        | 13.4%        | 13.7%        | 14.1%        | 14.4%        |
| Net profit to shareholders    | 224          | 326          | 475          | 523          | 577          | 629          | 686          | 742          |
| EPS (NOK)                     | 1.10         | 1.59         | 2.39         | 2.87         | 3.31         | 3.77         | 4.30         | 4.88         |
| DPS (NOK)                     | 0.00         | 0.00         | 1.30         | 1.43         | 1.65         | 2.07         | 2.37         | 2.93         |
| <b>Free cash flow to firm</b> | <b>356</b>   | <b>446</b>   | <b>519</b>   | <b>508</b>   | <b>543</b>   | <b>590</b>   | <b>651</b>   | <b>707</b>   |
| ROIC                          | 11.1%        | 15.3%        | 18.9%        | 20.7%        | 22.4%        | 23.6%        | 25.0%        | 26.3%        |
| NIBD / EBITDAaL (x)           | 2.4x         | 1.5x         | 1.1x         | 1.2x         | 1.2x         | 1.2x         | 1.2x         | 1.2x         |

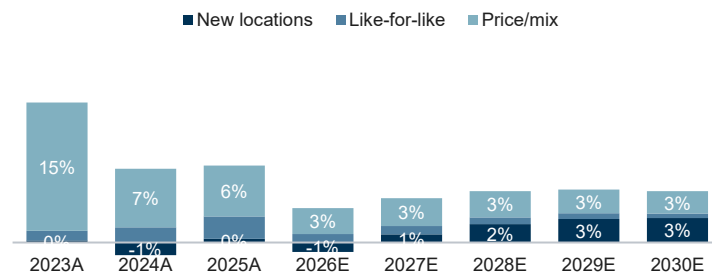
## Financial commentary

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- **5.1% revenue CAGR 2025–30E:** new locations add ~1.5pp, like-for-like ~0.8pp and price/mix ~2.9pp p.a.
- **Operating leverage** lifts EBIT adj. margin from 11.7% to 14.4% as fixed costs and rent grow with inflation and locations, not with sales
- **Growth is paid for:** 31 openings at ~NOK 9m each lift capex to 5.0% of sales (5.6% in 2025A)
- **Highly cash generative:** ~53% of EBITDAaL converts to FCFF; negative working capital funds growth
- **ROIC of 26% by 2030E** – far above our 9.1% WACC
- **Shareholder returns:** payout from 50% to 60%; cash above 1.25x NIBD/EBITDAaL funds buybacks – NOK 1,888m over 2026–30E

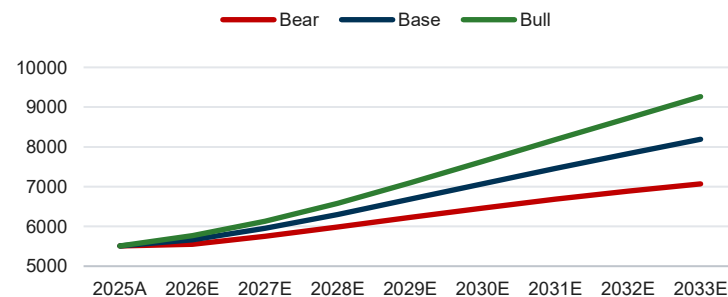
## Growth: new locations, like-for-like, price

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## Revenue by scenario (NOKm)

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## Our estimates vs. consensus

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| vs. consensus | 2026E | 2027E | 2028E |
|---------------|-------|-------|-------|
| Revenue       | -0.8% | -1.5% | n.a.  |
| EBITDA        | n.a.  | n.a.  | n.a.  |
| EBIT          | n.a.  | n.a.  | n.a.  |
| EPS           | -1.1% | -5.8% | n.a.  |

**Where we differ – operating leverage.** Consensus: Close to us for 2026 and ~6% above us on 2027 EPS; the share price implies only ~12.3% in 2033 (11.7% today). We: EBIT adj. margin rises from 11.7% (2025) to 15.1% by 2033 on a largely fixed cost base.

# Valuation and recommendation

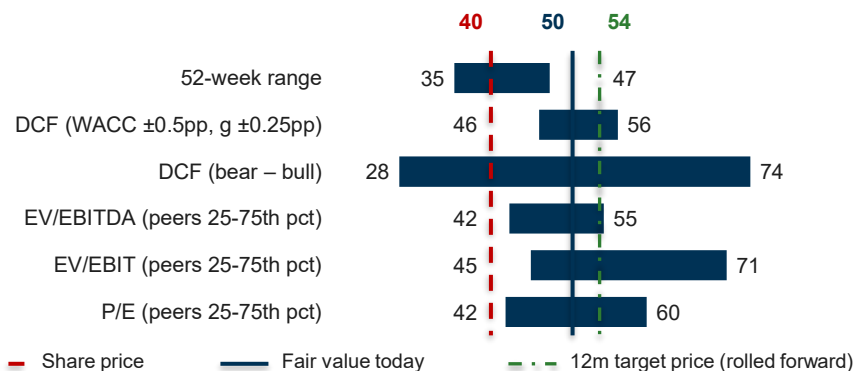
We recommend BUY with a target price of NOK 54 – 36% upside and 39% expected total return

Our take: at NOK 40 the market prices in an EBIT margin of 12.3% in 2033E – above the 11.7% SATS earns today. We see 15.1% as fixed costs are spread over more locations. DCF NOK 51 and peers NOK 50 both point higher: **12-month target price NOK 54(1), BUY.**

## BUY – TP NOK 54

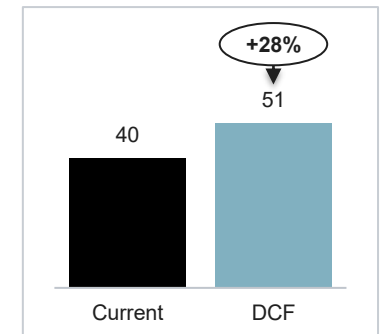
- **Little operating leverage priced in:** the share price implies a 12.3% EBIT margin in 2033E (11.7% today) – we model 15.1%
- **Growth engine intact:** revenue per member, members per club and 7-8 net openings a year (13 committed through 2028, target 8-12)
- **Cash machine:** FCF yield rising to 8% by 2029E funds rising dividends
- **Asymmetric risk/reward:** bull NOK 74 vs. bear NOK 28 per share (DCF)
- **Catalysts:** Q3 report 27 Oct 2026 (margins), the next buyback programme, the 2027 opening pipeline

## Valuation summary – football field (NOK/share)



## DCF valuation – sensitivity analysis (NOK per share)

|                 |       | WACC  |       |       |       |       |        |        |
|-----------------|-------|-------|-------|-------|-------|-------|--------|--------|
|                 |       | 7.56% | 8.06% | 8.56% | 9.06% | 9.56% | 10.06% | 10.56% |
| Terminal growth | 1.50% | 62.9  | 57.5  | 52.8  | 48.8  | 45.3  | 42.2   | 39.5   |
|                 | 1.75% | 64.5  | 58.8  | 53.9  | 49.7  | 46.1  | 42.9   | 40.0   |
|                 | 2.00% | 66.3  | 60.3  | 55.1  | 50.7  | 46.9  | 43.5   | 40.6   |
|                 | 2.25% | 68.3  | 61.8  | 56.4  | 51.7  | 47.7  | 44.3   | 41.2   |
|                 | 2.50% | 70.5  | 63.6  | 57.8  | 52.9  | 48.7  | 45.0   | 41.8   |



## What the market is pricing in (reverse DCF)

|                        | Market | Ours  | 2025A |
|------------------------|--------|-------|-------|
| EBIT adj. margin 2033E | 12.3%  | 15.1% | 11.7% |
| Revenue CAGR 2025–33E  | 4.5%   | 5.1%  | 10.5% |
| WACC                   | 10.7%  | 9.1%  | –     |

- **Little operating leverage priced in:** the market's 2033E margin is only 0.6pp above today's and 2.8pp below ours
- **Each 1pp of margin is worth NOK 4.0 per share** – our upside rests on margins, not on multiples

**12.3%**

Market-implied, 2033E

**15.1%**

Our base case, 2033E

**11.7%**

Today (2025A)